SaaS Valuation Engine · Equity Research
US Software · Initiation of coverage

Zoom Communications, Inc. (ZM)
1 November 2026

MATURING · INITIATING AT NEUTRAL

Zoom: Cash-Rich, Growth-Light, and Priced About Right

We initiate on Zoom Communications with a Neutral rating and a 12-month price target of $100, implying a 4.7% return from $95.50, slightly below the 5.8% median expected return across our coverage universe. Zoom generates substantial free cash flow and margins have recovered strongly, but revenue growth in the low single digits and bundled competition limit the case for a rerating. We see a reasonably balanced range between our bear and bull scenarios.

1. Margin repair is largely done

Operating margin rose from 5.6% in FY2023 to 23.1% in FY2026, while stock-based pay fell from 29.3% to 15.6% of revenue. FCF margin reached 39.5%, 13.6 points above the 25.9% peer median. With much of the improvement already delivered, further gains are less likely to drive the stock than they were.

2. Growth remains the binding constraint

Revenue grew 4.4% in FY2026 to $4.9B, after two years at 3.1%. Calendar 2025 growth of 4.3% is 12 points below the 16.3% peer median. That gap explains why Zoom trades at 4.1x EV/revenue against a 7.9x peer median, despite a combined growth-plus-margin score of 43.7%.

3. The market already prices modest growth

Our reverse DCF suggests the share price implies 2.6% revenue growth, below the 4.3% starting growth in our DCF. That points to limited downside if growth holds, but not to a material mispricing. At 14.6x P/FCF the valuation is undemanding, though consistent with a mature, low-growth profile.

ZM share price and 12-month price target



Source: Yahoo Finance (daily close, split-adjusted); price target and scenarios from this model.

RATING
Neutral

PRICE TARGET

12-month target	**$100**
Share price (2026-11-01)	**$95.50**
Expected return	**+5%**
Bull case	**$138 (+45%)**
Bear case	**$75 (-21%)**

KEY DATA

Market cap	**$27.9B**
Enterprise value	**$20.0B**
52-week range	**$73–$112**
EV / revenue (CY25)	**4.1x**
EV / EBITDA (CY25)	**16.3x**
P / FCF (CY25)	**14.6x**
Revenue growth (CY25)	**4%**
FCF margin (CY25)	**39%**
Growth price implies	**3%**

VALUATION

DCF value	**$100**
Comps value	**$82**
WACC	**9.9%**
Terminal growth	**3.0%**

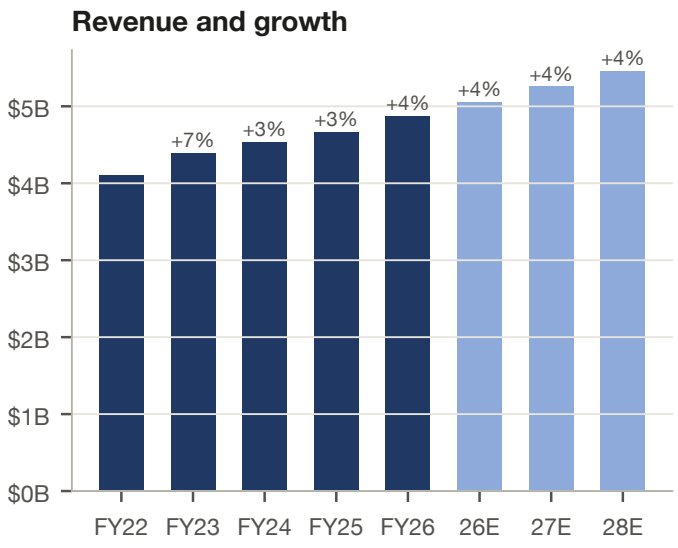
Business overview

Zoom sells subscription communications and collaboration software to customers ranging from individuals to Fortune 50 organizations across education, finance, government, health care and other sectors. No single customer exceeded 10% of revenue in the fiscal year ended January 31, 2026. The portfolio has two main groups. Zoom Workplace covers Meetings, Phone, Team Chat, Docs, Whiteboard and Rooms. Zoom Business Services covers Contact Center, Revenue Accelerator, Events and Webinars. The Workvivo employee-experience platform is sold as a monthly subscription with optional paid add-ons. The AI Companion assistant is included at no additional cost with eligible paid plans and is also sold standalone. Zoom Phone, available standalone or as an add-on, provided native PSTN connectivity in more than 45 countries and territories as of January 31, 2026. Distribution combines a freemium self-service online channel with field sales organized by customer size, region and vertical, plus resellers, system integrators and service providers. The company had 7,438 full-time employees, of whom 3,981 were outside the US.

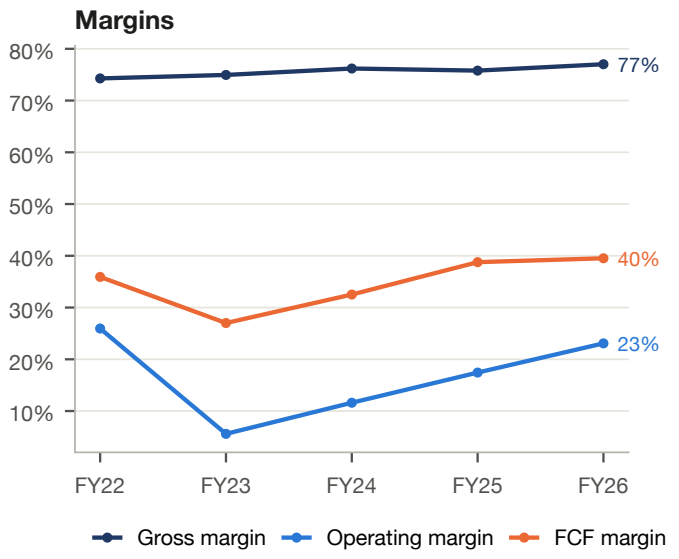
Financial summary

USD millions	FY22	FY23	FY24	FY25	FY26	26E	27E	28E
Revenue	4,100	4,393	4,527	4,665	4,869	5,052	5,254	5,458
growth	*n/a*	*+7%*	*+3%*	*+3%*	*+4%*	*+4%*	*+4%*	*+4%*
Gross margin	74%	75%	76%	76%	77%	–	–	–
Operating margin	26%	6%	12%	17%	23%	–	–	–
Free cash flow	1,473	1,186	1,472	1,809	1,924	n/a	n/a	n/a
FCF margin	*36%*	*27%*	*33%*	*39%*	*40%*	*n/a*	*n/a*	*n/a*
FCF after stock-based pay	995	(99)	415	877	1,163	1,194	1,250	1,307
margin	*24%*	*-2%*	*9%*	*19%*	*24%*	*24%*	*24%*	*24%*
Stock-based pay % revenue	12%	29%	23%	20%	16%	–	–	–

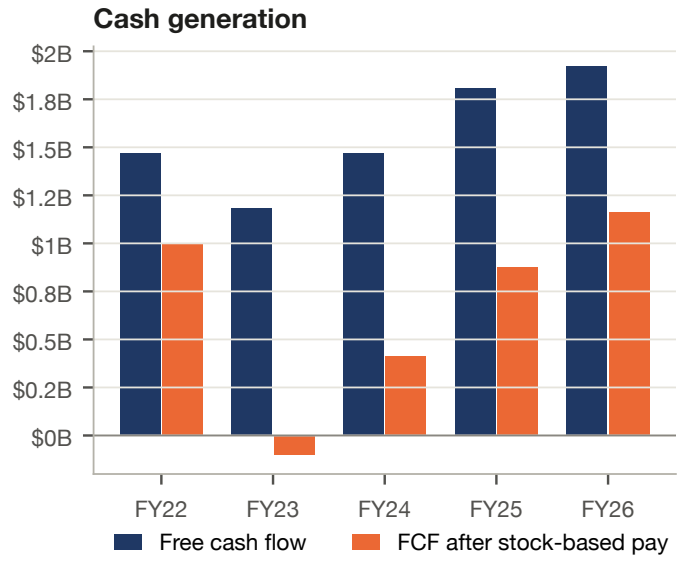
Actuals are fiscal years from 10-K filings (SEC EDGAR). Estimates (E, shaded) are calendar years from the DCF projection; estimated free cash flow is after stock-based pay, which the model treats as a cost. n/a: not in the SEC's standardized data.



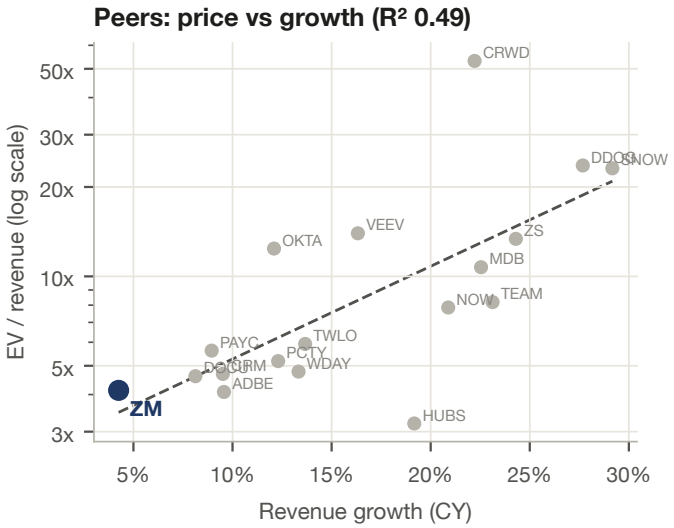
Source: 10-K filings via SEC EDGAR (fiscal-year actuals); model estimates (E, calendar years).



Source: 10-K filings via SEC EDGAR. FCF = operating cash flow - capex - capitalized software.



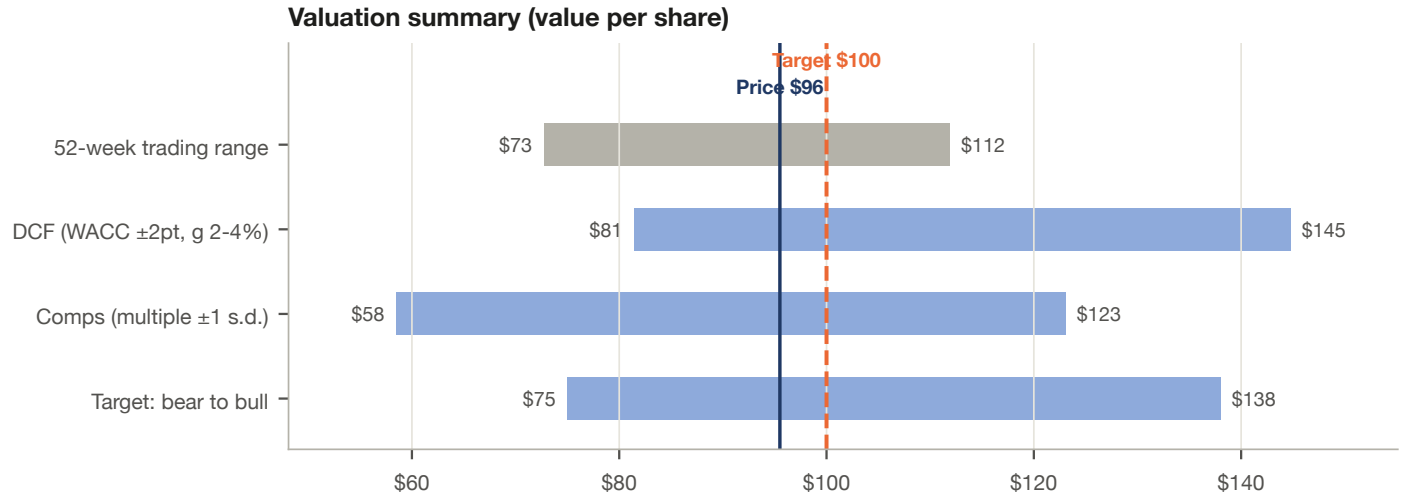
Source: 10-K filings via SEC EDGAR. A missing bar means capex is not in the SEC's standardized data.



Source: This model, calendar-year comps for the 18-company coverage universe.

Valuation and price target

Our price target blends a DCF value of $99.65 with a comps-implied value of $82.00. Together they give a fair value today of $90.83, which we roll forward at a 9.9% cost of equity to reach $100. The model does not flag the target as an outlier. The DCF uses a 9.9% WACC and 3.0% terminal growth. Terminal value accounts for 52.2% of DCF value, which is moderate for software and reflects strong near-term cash generation. We assume a mature FCF margin of 25.0%, well below the 39.5% reported in FY2026. This is deliberately conservative, given stock-based pay of 16.0% of revenue and free AI features that may raise costs. The comps leg is the weaker input. The peer regression of EV/revenue on growth has an R² of only 48.9%, and Zoom's growth sits far below most peers, so the comps value largely reflects its low-growth position rather than its cash generation. Our bear case of $75 implies a -21.5% return, and our bull case of $138 implies 44.5%. The skew looks favorable on paper, but our base case sits close to the current price, and the stock has traded between $72.72 and $111.88 over the past year.



Source: This model; Yahoo Finance for the 52-week trading range.

DCF sensitivity: value per share by WACC (rows) and terminal growth (columns)

WACC	2.0%	2.5%	3.0%	3.5%	4.0%
7.9%	$117	$122	$128	$135	$145
8.9%	$104	$108	$111	$116	$122
9.9%	$95	$97	**$100**	$103	$106
10.9%	$87	$89	$91	$93	$95
11.9%	$81	$83	$84	$86	$87

Bordered cell: base case. Blue: above today's price of $95.50; red: below.

Risks to our rating

Bundled competition (downside). Microsoft Teams and Google Meet are bundled into suites customers already pay for, which caps pricing and forces discounts. Sustained price pressure would hit both growth and gross margin, currently 77.0%.

Seat contraction and flat growth (downside). The filing warns growth may stay flat or decline as customers shrink subscriptions or consolidate onto a competitor's platform. Growth below the 2.6% implied by the share price would push value toward our bear case.

Free AI features and China-related scrutiny (downside). AI Companion is bundled at no extra charge, so inference costs could erode margins without adding revenue. Separately, China-based R&D and ongoing DOJ investigations carry tail risk of fines and reputational damage with security-sensitive buyers.

New products reaccelerate growth (upside). If Phone, Contact Center and AI products restart growth toward the 7.1% reached in FY2023, the low multiple could rerate toward peers. That would move value toward our $138 bull case.

Cash margins hold above our assumption (upside). Our 25.0% mature FCF margin may prove too conservative if Zoom sustains margins near FY2026 levels. Combined with capital returns, that could lift DCF value above our target.

What would change our view

- Revenue growth sustained above the 4.4% reached in FY2026 for several quarters, with Phone and Contact Center visibly contributing, would move us toward a more positive stance.
- A decline in revenue growth below the 2.6% implied by the share price, or evidence of accelerating seat contraction, would make us more cautious.
- A reversal of margin gains, with stock-based pay rising back above 20.0% of revenue or FCF margin compressing toward our 25.0% mature assumption faster than modeled, would challenge our valuation.

Methodology

Price target. Fair value today blends a discounted cash flow value (50%) with a comparable-company value (50%); where the DCF is not meaningful, the comps value is used alone. The 12-month target rolls fair value forward over 12 months at the cost of equity less a dividend yield of 0%, rounded to the nearest dollar.

DCF. A two-stage model: 5 explicit years followed by 5 fade years in which revenue growth glides to a terminal rate of 3.0% and the free-cash-flow margin moves to a mature level of at least 25%. Stock-based compensation is deducted as a real cost. The discount rate is the WACC, with the cost of equity from CAPM (risk-free rate 4.3%, equity risk premium 5.5%, Blume-adjusted beta).

Comparables. ln(EV/revenue) is regressed on calendar-year revenue growth across the 18-company coverage universe (R^2 0.49). Each company's fair multiple comes from a line fitted on the other companies (leave-one-out), applied to its revenue and bridged to equity value per share.

Scenarios. Bull and bear cases shift the DCF's starting growth by ±5 points and its mature margin by ±5 points, and move the fair multiple by one standard deviation of the regression residuals (0.56 in log terms, a factor of 1.74).

Rating. Ratings are relative to the coverage universe: Overweight if the expected return beats the universe median (+6% at this date) by at least 15 points, Underweight if it trails by at least 15 points, otherwise Neutral. Targets implying a move beyond ±75% are flagged as model outliers rather than capped.

Narrative. Written by Claude Opus 5.5 from the model's figures, the company's latest 10-K (Item 1 and Item 1A) and a risk summary. Every number in the text was checked automatically against those sources; the rating and target were set by the model and given to the writer as facts.

Disclosures. This report was generated automatically by the SaaS Valuation Engine, an educational portfolio project. It is not investment research from a regulated firm and not investment advice; nothing in it is a recommendation to buy, sell or hold any security. Data: SEC EDGAR filings and Yahoo Finance market data as of 2026-11-01. Figures may contain errors; verify against the company's filings before relying on them.